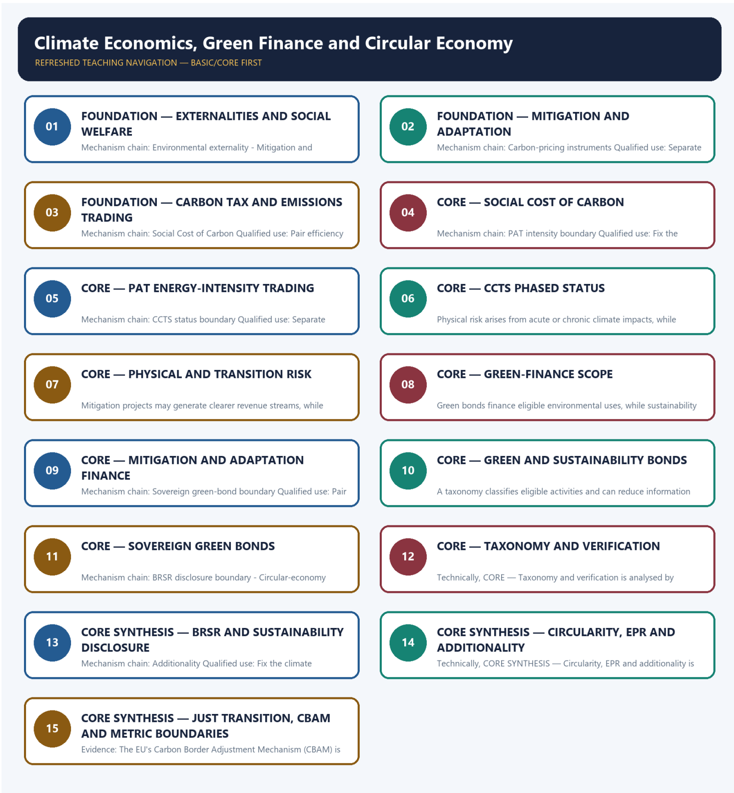
SOLVED PRACTICE WORKBOOK

Climate Economics, Green Finance and Circular Economy - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing



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Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

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BASIC MCQS / REMEDIATION

Q1. Which statement correctly identifies Environmental externality?

A. An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. B. A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. C. The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. D. Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements.

Answer: A. Explanation: An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q2. Which option preserves the accounting or regulatory boundary of Environmental externality?

A. A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. B. An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. C. The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. D. Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster.

Answer: B. Explanation: An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q3. Which statement uses Environmental externality without losing its vintage, basket or legal status?

A. The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. B. India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. C. An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. D. Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster.

Answer: C. Explanation: An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q4. Which option avoids the standard UPSC close-option trap about Environmental externality?

A. India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. B. Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. C. Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. D. An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare.

Answer: D. Explanation: An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q5. Which statement correctly identifies Mitigation and adaptation?

A. Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. B. The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. C. Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. D. A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction.

Answer: A. Explanation: Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q6. Which option preserves the accounting or regulatory boundary of Mitigation and adaptation?

A. India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. B. Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. C. Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. D. The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price.

Answer: B. Explanation: Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q7. Which statement uses Mitigation and adaptation without losing its vintage, basket or legal status?

A. Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. B. Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. C. Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. D. India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide.

Answer: C. Explanation: Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q8. Which option avoids the standard UPSC close-option trap about Mitigation and adaptation?

A. Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. B. Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. C. India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. D. Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements.

Answer: D. Explanation: Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q9. Which statement correctly identifies Carbon-pricing instruments?

A. A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. B. The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. C. Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. D. India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide.

Answer: A. Explanation: A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q10. Which option preserves the accounting or regulatory boundary of Carbon-pricing instruments?

A. Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. B. A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. C. Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. D. India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide.

Answer: B. Explanation: A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q11. Which statement uses Carbon-pricing instruments without losing its vintage, basket or legal status?

A. Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. B. India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. C. A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. D. Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality.

Answer: C. Explanation: A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q12. Which option avoids the standard UPSC close-option trap about Carbon-pricing instruments?

A. Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. B. Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. C. Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. D. A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction.

Answer: D. Explanation: A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q13. Which statement correctly identifies Social Cost of Carbon?

A. The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. B. India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. C. Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. D. Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster.

Answer: A. Explanation: The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q14. Which option preserves the accounting or regulatory boundary of Social Cost of Carbon?

A. India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. B. The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. C. Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. D. Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance.

Answer: B. Explanation: The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q15. Which statement uses Social Cost of Carbon without losing its vintage, basket or legal status?

A. Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. B. Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. C. The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. D. Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance.

Answer: C. Explanation: The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q16. Which option avoids the standard UPSC close-option trap about Social Cost of Carbon?

A. Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. B. Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. C. Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. D. The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price.

Answer: D. Explanation: The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q17. Which statement correctly identifies PAT intensity boundary?

A. Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. B. India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. C. Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. D. Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality.

Answer: A. Explanation: Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q18. Which option preserves the accounting or regulatory boundary of PAT intensity boundary?

A. Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. B. Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. C. Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. D. Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other.

Answer: B. Explanation: Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q19. Which statement uses PAT intensity boundary without losing its vintage, basket or legal status?

A. Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. B. Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. C. Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. D. Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality.

Answer: C. Explanation: Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q20. Which option avoids the standard UPSC close-option trap about PAT intensity boundary?

A. India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. B. Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. C. Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. D. Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster.

Answer: D. Explanation: Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q21. Which statement correctly identifies CCTS status boundary?

A. India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. B. Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. C. Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. D. Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other.

Answer: A. Explanation: India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated

official source rather than assumed economy-wide. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q22. Which option preserves the accounting or regulatory boundary of CCTS status boundary?

A. Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. B. India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. C. Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. D. Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification.

Answer: B. Explanation: India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q23. Which statement uses CCTS status boundary without losing its vintage, basket or legal status?

A. Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. B. India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. C. India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. D. Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification.

Answer: C. Explanation: India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q24. Which option avoids the standard UPSC close-option trap about CCTS status boundary?

A. India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. B. A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. C. Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. D. India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide.

Answer: D. Explanation: India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q25. Which statement correctly identifies Physical and transition risk?

A. Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. B. Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. C. Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. D. Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other.

Answer: A. Explanation: Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q26. Which option preserves the accounting or regulatory boundary of Physical and transition risk?

A. Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. B. Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. C. Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. D. India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome.

Answer: B. Explanation: Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q27. Which statement uses Physical and transition risk without losing its vintage, basket or legal status?

A. Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. B. A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. C. Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. D. India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome.

Answer: C. Explanation: Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q28. Which option avoids the standard UPSC close-option trap about Physical and transition risk?

A. A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. B. SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. C. India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. D. Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance.

Answer: D. Explanation: Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q29. Which statement correctly identifies Green-finance scope?

A. Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. B. Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. C. India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. D. Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other.

Answer: A. Explanation: Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q30. Which option preserves the accounting or regulatory boundary of Green-finance scope?

A. A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. B. Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. C. Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. D. India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome.

Answer: B. Explanation: Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q31. Which statement uses Green-finance scope without losing its vintage, basket or legal status?

A. A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. B. India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. C. Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. D. SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact.

Answer: C. Explanation: Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q32. Which option avoids the standard UPSC close-option trap about Green-finance scope?

A. A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. B. SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. C. Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. D. Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality.

Answer: D. Explanation: Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q33. Which statement correctly identifies Mitigation and adaptation finance?

A. Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. B. India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. C. Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. D. A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing.

Answer: A. Explanation: Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q34. Which option preserves the accounting or regulatory boundary of Mitigation and adaptation finance?

A. A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. B. Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. C. India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. D. SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact.

Answer: B. Explanation: Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q35. Which statement uses Mitigation and adaptation finance without losing its vintage, basket or legal status?

A. SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. B. A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. C. Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. D. Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy.

Answer: C. Explanation: Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q36. Which option avoids the standard UPSC close-option trap about Mitigation and adaptation finance?

A. Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. B. Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. C. SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. D. Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other.

Answer: D. Explanation: Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q37. Which statement correctly identifies Green and sustainability bonds?

A. Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. B. SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. C. A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. D. India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome.

Answer: A. Explanation: Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q38. Which option preserves the accounting or regulatory boundary of Green and sustainability bonds?

A. SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. B. Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. C. Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. D. A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing.

Answer: B. Explanation: Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q39. Which statement uses Green and sustainability bonds without losing its vintage, basket or legal status?

A. SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. B. Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. C. Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. D. Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy.

Answer: C. Explanation: Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q40. Which option avoids the standard UPSC close-option trap about Green and sustainability bonds?

A. Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. B. Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. C. Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. D. Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification.

Answer: D. Explanation: Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q41. Which statement correctly identifies Sovereign green-bond boundary?

A. India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. B. Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. C. A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. D. SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact.

Answer: A. Explanation: India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q42. Which option preserves the accounting or regulatory boundary of Sovereign green-bond boundary?

A. Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. B. India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. C. Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. D. SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact.

Answer: B. Explanation: India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q43. Which statement uses Sovereign green-bond boundary without losing its vintage, basket or legal status?

A. Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. B. Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. C. India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. D. Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing.

Answer: C. Explanation: India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q44. Which option avoids the standard UPSC close-option trap about Sovereign green-bond boundary?

A. Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. B. Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. C. A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. D. India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome.

Answer: D. Explanation: India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q45. Which statement correctly identifies Taxonomy and verification?

A. A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. B. Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. C. Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. D. SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact.

Answer: A. Explanation: A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q46. Which option preserves the accounting or regulatory boundary of Taxonomy and verification?

A. Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. B. A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. C. Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. D. Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing.

Answer: B. Explanation: A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q47. Which statement uses Taxonomy and verification without losing its vintage, basket or legal status?

A. Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. B. Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. C. A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. D. A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs.

Answer: C. Explanation: A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q48. Which option avoids the standard UPSC close-option trap about Taxonomy and verification?

A. The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. B. A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. C. Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. D. A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing.

Answer: D. Explanation: A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q49. Which statement correctly identifies BRSR disclosure boundary?

A. SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. B. Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. C. Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. D. Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action.

Answer: A. Explanation: SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q50. Which option preserves the accounting or regulatory boundary of BRSR disclosure boundary?

A. Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. B. SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. C. A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. D. Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing.

Answer: B. Explanation: SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q51. Which statement uses BRSR disclosure boundary without losing its vintage, basket or legal status?

A. Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. B. The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. C. SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. D. A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs.

Answer: C. Explanation: SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q52. Which option avoids the standard UPSC close-option trap about BRSR disclosure boundary?

A. The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. B. A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. C. Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. D. SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact.

Answer: D. Explanation: SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q53. Which statement correctly identifies Circular-economy hierarchy?

A. Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. B. Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. C. A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. D. Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing.

Answer: A. Explanation: Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q54. Which option preserves the accounting or regulatory boundary of Circular-economy hierarchy?

A. The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. B. Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. C. Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. D. A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs.

Answer: B. Explanation: Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q55. Which statement uses Circular-economy hierarchy without losing its vintage, basket or legal status?

A. The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. B. A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. C. Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. D. Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other.

Answer: C. Explanation: Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q56. Which option avoids the standard UPSC close-option trap about Circular-economy hierarchy?

A. Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities. B. The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. C. Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. D. Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy.

Answer: D. Explanation: Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q57. Which statement correctly identifies Extended Producer Responsibility?

A. Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. B. A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. C. The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. D. Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action.

Answer: A. Explanation: Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. The other options belong to different measures, vintages, baskets, instruments,

institutions or legal perimeters.

Q58. Which option preserves the accounting or regulatory boundary of Extended Producer Responsibility?

A. Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. B. Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. C. The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. D. A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs.

Answer: B. Explanation: Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q59. Which statement uses Extended Producer Responsibility without losing its vintage, basket or legal status?

A. Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. B. The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. C. Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. D. Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities.

Answer: C. Explanation: Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q60. Which option avoids the standard UPSC close-option trap about Extended Producer Responsibility?

A. An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. B. Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities. C. Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. D. Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing.

Answer: D. Explanation: Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q61. Which statement correctly identifies Additionality?

A. Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. B. A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. C. Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. D. The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed.

Answer: A. Explanation: Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q62. Which option preserves the accounting or regulatory boundary of Additionality?

A. The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. B. Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. C. Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. D. Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities.

Answer: B. Explanation: Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q63. Which statement uses Additionality without losing its vintage, basket or legal status?

A. Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. B. Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities. C. Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. D. An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare.

Answer: C. Explanation: Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q64. Which option avoids the standard UPSC close-option trap about Additionality?

A. Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. B. An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. C. Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities. D. Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action.

Answer: D. Explanation: Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q65. Which statement correctly identifies Just transition?

A. A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. B. Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. C. The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. D. Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities.

Answer: A. Explanation: A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q66. Which option preserves the accounting or regulatory boundary of Just transition?

A. Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities. B. A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. C. An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. D. Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other.

Answer: B. Explanation: A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q67. Which statement uses Just transition without losing its vintage, basket or legal status?

A. An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. B. Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. C. A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. D. Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities.

Answer: C. Explanation: A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q68. Which option avoids the standard UPSC close-option trap about Just transition?

A. An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. B. Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. C. A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. D. A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs.

Answer: D. Explanation: A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q69. Which statement correctly identifies CBAM and domestic policy?

A. The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. B. Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. C. An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. D. Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities.

Answer: A. Explanation: The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q70. Which option preserves the accounting or regulatory boundary of CBAM and domestic policy?

A. Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities. B. The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. C. An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. D. Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements.

Answer: B. Explanation: The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q71. Which statement uses CBAM and domestic policy without losing its vintage, basket or legal status?

A. An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. B. Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. C. The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. D. A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction.

Answer: C. Explanation: The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q72. Which option avoids the standard UPSC close-option trap about CBAM and domestic policy?

A. The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. B. Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. C. A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. D. The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed.

Answer: D. Explanation: The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q73. Which statement correctly identifies Intensity and absolute emissions?

A. Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. B. Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. C. An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. D. Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities.

Answer: A. Explanation: Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q74. Which option preserves the accounting or regulatory boundary of Intensity and absolute emissions?

A. An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. B. Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. C. A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. D. Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements.

Answer: B. Explanation: Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q75. Which statement uses Intensity and absolute emissions without losing its vintage, basket or legal status?

A. A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. B. The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. C. Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. D. Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements.

Answer: C. Explanation: Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q76. Which option avoids the standard UPSC close-option trap about Intensity and absolute emissions?

A. Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. B. A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. C. The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. D. Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other.

Answer: D. Explanation: Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q77. Which statement correctly identifies Installation flow and capacity stock?

A. Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities. B. An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. C. Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. D. A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction.

Answer: A. Explanation: Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q78. Which option preserves the accounting or regulatory boundary of Installation flow and capacity stock?

A. The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. B. Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities. C. A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. D. Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements.

Answer: B. Explanation: Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q79. Which statement uses Installation flow and capacity stock without losing its vintage, basket or legal status?

A. Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. B. A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. C. Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities. D. The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price.

Answer: C. Explanation: Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q80. Which option avoids the standard UPSC close-option trap about Installation flow and capacity stock?

A. India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. B. Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. C. The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. D. Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities.

Answer: D. Explanation: Renewable installations over a stated period are a flow addition, while total installed capacity is a point-in-time stock; period additions, targets and operating generation are different quantities. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

PYQS AND ANSWER PRACTICE

VERIFIED OBJECTIVE PYQ OWNERSHIP AUDIT

Audited ledgers route objective concepts on the Social Cost of Carbon, greenwashing, BRSR, circular-economy emission channels and sustainability bonds. Their concepts are taught in Basic and practice, while unavailable or provisional answer letters are not inferred.

OWNER PYQ LEDGER EXTRACTS

9. PYQ application

- ANALYSIS: 2025 Prelims: circular economy mechanisms and greenhouse-gas reduction.
- ANALYSIS: 2025 GS-III: clean-technology energy independence and biotechnology; CCUS; and

India's Paris/COP26/updated-NDC commitments.

- ANALYSIS: **Climate answer route:** separate mitigation, adaptation and energy security; state

the 2022 updated NDC's target of about 50% cumulative installed electric-power capacity from non-fossil sources by 2030, then discuss grid/storage, finance, technology, affordability and just-transition constraints. Treat “energy independence by 2047” as the question's analytical horizon, not an unverified numerical outcome.

- ANALYSIS: **CCUS route:** define capture, use and geological storage; assess hard-to-abate

sectors, energy/cost and monitoring constraints, and why it complements rather than replaces emission reduction.

- ANALYSIS: **2020 Prelims:** Social Cost of Carbon's monetary valuation of emissions damage -

answer with the SCC-versus-carbon-tax-versus-market-price distinction above, without citing a specific SCC dollar figure absent a dated source.

Source for the NDC distinction: MoEFCC LT-LEDS/UNFCCC submission.

Demand decoding: The directive **answer** requires a direct position on “9. PYQ application”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: The answer must resolve the Economy demand in “9. PYQ application”.

Analytical body:

1. **Claim and named evidence:** ANALYSIS: 2025 Prelims: circular economy mechanisms and greenhouse-gas reduction. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** ANALYSIS: 2025 GS-III: clean-technology energy independence and biotechnology; CCUS; and **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** ANALYSIS: Climate answer route: separate mitigation, adaptation and energy security; state **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** the 2022 updated NDC's target of about 50% cumulative installed electric-power capacity **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** from non-fossil sources by 2030, then discuss grid/storage, finance, technology, **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
6. **Claim and named evidence:** affordability and just-transition constraints. Treat “energy independence by 2047” as **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: The answer must resolve the Economy demand in “9. PYQ application”.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “9. PYQ application”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

2026 PYQ Integration

> **Status:** 2026 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-PRELIMS-2026.md`. **Answer-key rule:** The 2026 Prelims and CSAT Set-A keys held locally are **provisional**; no option or answer is recorded or inferred in this integration.

- **Year represented:** 2026
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 1

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2026	Prelims GS-I	92	Sustainability bonds financing combined environmental and social projects	Objective question; provisional 2026 Set-A key present locally, answer not inferred	Provisional 2026 Set-A key present locally (`Ans-2026-GS1-Provisional`); key is provisional - no answer letter recorded or inferred here	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Sustainability bonds financing combined environmental and social projects

> This block integrates the 2026 examinable demand and paper metadata. It is kept separate from the 2018-2023 and 2024-2025 blocks and does not convert a provisionally-keyed, answer-free objective question into a solved answer.

Recent PYQ Integration (2024-2025)

> **Status:** 2024-2025 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-PRELIMS-2024-2025.md`. **Answer-key rule:** The official 2024-2025 Prelims Set-A keys are present in the repository and CSAT Set-A keys are supplied; even so, no option or answer is recorded or inferred in this integration.

- **Years represented:** 2025
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 2

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2025	Prelims GS-I	4	Business Responsibility and Sustainability Report (BRSR) for listed companies	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.
2025	Prelims GS-I	9	Circular economy - emissions, raw-material use and wastage	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Business Responsibility and Sustainability Report (BRSR) for listed companies
- Circular economy - emissions, raw-material use and wastage

> This block integrates the 2024-2025 examinable demand and paper metadata. It is kept separate from the 2018-2023 block and does not convert an unkeyed/answer-free objective question into a solved answer.

Historical PYQ Integration (2018-2023)

> **Status:** Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-PRELIMS-2018-2023.md`. **Answer-key rule:** The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2020, 2022
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 2

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2020	Prelims GS-I	85	Social Cost of Carbon monetary valuation of emissions damage	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2022	Prelims GS-I	80	Greenwashing false eco-friendly product claims by companies	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Social Cost of Carbon monetary valuation of emissions damage
- Greenwashing false eco-friendly product claims by companies

> The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

10. PYQ-based analytical application

- ANALYSIS: 2025 Prelims: circular economy mechanisms and greenhouse-gas reduction.
- ANALYSIS: 2025 GS-III: clean-technology energy independence and biotechnology; CCUS; and

India's Paris/COP26/updated-NDC commitments.

- ANALYSIS: **Answer engine:** mitigation-renewables, efficiency, electrification, industry and

CCUS for hard-to-abate sectors; adaptation-water, agriculture, resilient infrastructure and social protection; enabling conditions-grid/storage, finance, innovation, skills, affordability and just transition. State the 2022 updated NDC's about-50% cumulative non-fossil installed-capacity target for 2030 separately from wider political announcements and long-term aspirations.

Source: MoEFCC LT-LEDS/UNFCCC submission.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish the Social Cost of Carbon, a carbon tax and a traded carbon price. Answer in about 150 words.

Model thesis: Claim: Carbon-pricing instruments. **Named evidence/example:** A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Social Cost of Carbon. **Named evidence/example:** The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction.
- The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price.

Qualified conclusion: Claim: Carbon-pricing instruments. **Named evidence/example:** A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Social Cost of Carbon. **Named evidence/example:** The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on "Distinguish the Social Cost of Carbon, a carbon tax and a traded carbon price. Answer in…", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Carbon-pricing instruments. **Named evidence/example:** A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Social Cost of Carbon. **Named evidence/example:** The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and

federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Carbon-pricing instruments. **Named evidence/example:** A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Social Cost of Carbon. **Named evidence/example:** The Social Cost of Carbon is a model-based monetary estimate of damage from an additional tonne of emissions and is distinct from both a statutory carbon tax and a traded permit or credit price. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Distinguish the Social Cost of Carbon, a carbon tax and a traded carbon price. Answer in…”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 2 - 10 MARKS

Question: Why is recycling only one part of a circular economy? Answer in about 150 words.

Model thesis: Claim: Circular-economy hierarchy. **Named evidence/example:** Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Extended Producer Responsibility. **Named evidence/example:** Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy.

- Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing.

Qualified conclusion: Claim: Circular-economy hierarchy. **Named evidence/example:** Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Extended Producer Responsibility. **Named evidence/example:** Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “Why is recycling only one part of a circular economy? Answer in about 150 words.”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Circular-economy hierarchy. **Named evidence/example:** Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Extended Producer Responsibility. **Named evidence/example:** Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Circular-economy hierarchy. **Named evidence/example:** Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Extended Producer Responsibility. **Named evidence/example:** Extended Producer Responsibility shifts specified end-of-life obligations towards producers for notified product or waste categories, but compliance certificates require monitoring of actual collection and processing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Why is recycling only one part of a circular economy? Answer in about 150 words.”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 3 - 15 MARKS

Question: Assess the credibility conditions for green finance. Answer in about 250 words.

Model thesis: Claim: Green-finance scope. **Named evidence/example:** Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Green and sustainability bonds. **Named evidence/example:** Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Sovereign green-bond boundary. **Named evidence/example:** India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Taxonomy and verification. **Named evidence/example:** A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** BRSR disclosure boundary. **Named evidence/example:** SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Additionality. **Named evidence/example:** Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality.
- Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification.
- India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome.
- A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing.
- SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact.
- Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action.

Qualified conclusion: Claim: Green-finance scope. **Named evidence/example:** Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Green and sustainability bonds. **Named evidence/example:** Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Sovereign green-bond boundary. **Named evidence/example:** India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Taxonomy and verification. **Named evidence/example:** A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** BRSR disclosure boundary. **Named evidence/example:** SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Additionality. **Named evidence/example:** Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **assess** requires a direct position on “Assess the credibility conditions for green finance. Answer in about 250 words.”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Green-finance scope. **Named evidence/example:** Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Green and sustainability bonds. **Named evidence/example:** Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Sovereign green-bond boundary. **Named evidence/example:** India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Taxonomy and verification. **Named evidence/example:** A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** BRSR disclosure boundary. **Named evidence/example:** SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Additionality. **Named evidence/example:** Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
6. **Claim and named evidence:** Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Green-finance scope. **Named evidence/example:** Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Green and sustainability bonds. **Named evidence/example:** Green bonds finance eligible environmental uses, while sustainability bonds may combine environmental and social uses; both require credible frameworks, allocation reporting and verification. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Sovereign green-bond boundary. **Named evidence/example:** India's sovereign green bonds earmark government borrowing for eligible public green projects under a framework; earmarking is not certified expenditure, completed assets or measured climate outcome. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Taxonomy and verification. **Named evidence/example:** A taxonomy classifies eligible activities and can reduce information asymmetry, but credible claims still require use-of-proceeds tracking, metrics, assurance and safeguards against greenwashing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** BRSR disclosure boundary. **Named evidence/example:** SEBI's Business Responsibility and Sustainability Reporting framework standardises sustainability disclosure for its covered listed-company perimeter; disclosure improves information but does not itself prove impact. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Additionality. **Named evidence/example:** Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Assess the credibility conditions for green finance. Answer in about 250 words.”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 4 - 15 MARKS

Question: Compare mitigation finance with adaptation finance. Answer in about 250 words.

Model thesis: Claim: Mitigation and adaptation. **Named evidence/example:** Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Physical and transition risk. **Named evidence/example:** Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Mitigation and adaptation finance. **Named evidence/example:** Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Just transition. **Named evidence/example:** A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements.
- Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance.
- Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other.
- A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs.

Qualified conclusion: Claim: Mitigation and adaptation. **Named evidence/example:** Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Physical and transition risk. **Named evidence/example:** Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Mitigation and adaptation finance. **Named evidence/example:** Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Just transition. **Named evidence/example:** A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **compare** requires a direct position on “Compare mitigation finance with adaptation finance. Answer in about 250 words.”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Mitigation and adaptation. **Named evidence/example:** Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Physical and transition risk. **Named evidence/example:** Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Mitigation and adaptation finance. **Named evidence/example:** Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Just transition. **Named evidence/example:** A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Mitigation and adaptation. **Named evidence/example:** Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Physical and transition risk. **Named evidence/example:** Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Mitigation and adaptation finance. **Named evidence/example:** Mitigation projects may generate clearer revenue streams, while adaptation often has public-good and avoided-loss benefits; financing one category does not substitute for the other. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Just transition. **Named evidence/example:** A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Compare mitigation finance with adaptation finance. Answer in about 250 words.”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 5 - 20 MARKS

Question: Evaluate India's movement from energy-intensity trading towards a phased carbon market. Answer in about 300 words.

Model thesis: Claim: Carbon-pricing instruments. **Named evidence/example:** A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** PAT intensity boundary. **Named evidence/example:** Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** CCTS status boundary. **Named evidence/example:** India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** CBAM and domestic policy. **Named evidence/example:** The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Intensity and absolute emissions. **Named evidence/example:** Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction.
- Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster.
- India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide.
- The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed.
- Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other.

Qualified conclusion: Claim: Carbon-pricing instruments. **Named evidence/example:** A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** PAT intensity boundary. **Named evidence/example:** Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** CCTS status boundary. **Named evidence/example:** India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** CBAM and domestic policy. **Named evidence/example:**

The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Intensity and absolute emissions. **Named evidence/example:** Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **evaluate** requires a direct position on “Evaluate India's movement from energy-intensity trading towards a phased carbon market.…”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Carbon-pricing instruments. **Named evidence/example:** A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** PAT intensity boundary. **Named evidence/example:** Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** CCTS status boundary. **Named evidence/example:** India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** CBAM and domestic policy. **Named evidence/example:** The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Intensity and absolute emissions. **Named evidence/example:** Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price,

quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

2. **Claim and named evidence:** Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Carbon-pricing instruments. **Named evidence/example:** A carbon tax sets a statutory price per unit of emissions, while emissions trading determines a market price under a quantity or baseline-and-credit architecture; instrument creation is not proof of emission reduction. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** PAT intensity boundary. **Named evidence/example:** Perform, Achieve and Trade sets energy-intensity targets and trades Energy Saving Certificates; intensity improvement can coexist with rising absolute emissions when output expands faster. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** CCTS status boundary. **Named evidence/example:** India's Carbon Credit Trading Scheme is a phased compliance-market architecture whose sector coverage, target years, notification status and market operation must be stated from a dated official source rather than assumed economy-wide. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** CBAM and domestic policy. **Named evidence/example:** The EU Carbon Border Adjustment Mechanism is an external import instrument, while India's CCTS and monitoring systems are domestic policies; any recognition or offset link must be verified rather than presumed. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Intensity and absolute emissions. **Named evidence/example:** Emission intensity measures emissions per unit of output, whereas absolute emissions measure total emissions; a target or achievement in one metric cannot be silently converted into the other. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Evaluate India's movement from energy-intensity trading towards a phased carbon market.…”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 6 - 20 MARKS

Question: Design a just green-transition strategy combining pricing, finance, circularity and distribution. Answer in about 300 words.

Model thesis: Claim: Environmental externality. **Named evidence/example:** An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Mitigation and adaptation. **Named evidence/example:** Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Physical and transition risk. **Named evidence/example:** Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Green-finance scope. **Named evidence/example:** Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Circular-economy hierarchy. **Named evidence/example:** Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Additionality. **Named evidence/example:** Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Just transition. **Named evidence/example:** A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare.
- Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements.
- Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance.
- Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality.
- Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy.
- Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action.
- A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs.

Qualified conclusion: Claim: Environmental externality. **Named evidence/example:** An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Mitigation and adaptation. **Named evidence/example:** Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Physical and transition risk. **Named evidence/example:** Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Green-finance scope. **Named evidence/example:** Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality.

Analysis: This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Circular-economy hierarchy. **Named evidence/example:** Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Additionality. **Named evidence/example:** Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Just transition. **Named evidence/example:** A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “Design a just green-transition strategy combining pricing, finance, circularity and…”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Environmental externality. **Named evidence/example:** An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Mitigation and adaptation. **Named evidence/example:** Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Physical and transition risk. **Named evidence/example:** Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Green-finance scope. **Named evidence/example:** Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Circular-economy hierarchy. **Named evidence/example:** Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy.

Analysis: This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Additionality. **Named evidence/example:** Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Just transition. **Named evidence/example:** A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
6. **Claim and named evidence:** Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status,

source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

7. **Claim and named evidence:** A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Environmental externality. **Named evidence/example:** An environmental externality is a cost or benefit imposed on others without full market compensation, so private production or consumption decisions may diverge from social welfare. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Mitigation and adaptation. **Named evidence/example:** Mitigation reduces greenhouse-gas emissions or increases sinks, while adaptation reduces exposure or vulnerability to climate impacts; the two address different parts of climate risk and are complements. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Physical and transition risk. **Named evidence/example:** Physical risk arises from acute or chronic climate impacts, while transition risk arises from changes in policy, technology, markets or preferences; both can affect firms, banks, households and public finance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Green-finance scope. **Named evidence/example:** Green finance directs capital to eligible environmental or transition-aligned uses, but a green label alone does not establish verified environmental performance or additionality. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Circular-economy hierarchy. **Named evidence/example:** Circularity prioritises reduction, redesign, durability, reuse, repair, refurbishment and remanufacture before residual material recovery; recycling alone is not a circular economy. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Additionality. **Named evidence/example:** Environmental additionality asks whether finance or policy caused benefits beyond a credible baseline; relabelling an already-financed activity is not the same as additional climate action. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Just transition. **Named evidence/example:** A just transition addresses workers, regions, consumers, affordability and energy access during structural decarbonisation; a carbon market or green bond does not automatically fund these distributional costs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Design a just green-transition strategy combining pricing, finance, circularity and…”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.